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Tutorial note

The expenses which are not related to the business are not shown in the profit and loss account. Examples are personal expenses of the proprietor such as domestic and household expenses of the proprietor, income-tax and life insurance premium of the proprietor, etc. These expenses are classified as drawings by the proprietor and are deducted from capital on the liabilities side of the balance sheet if they are paid out of business funds

Only revenue receipts and revenue expenses are shown in the trading and profit and loss account. Capital receipts, capital gains, capital expenditure and capital losses are not shown in trading and profit and loss account. That part of capital items that relate to that accounting period only are shown. For example, depreciation on fixed assets. Purchase of fixed asset is a capital expenditure. But depreciation is a revenue item which relates to the use of the fixed asset in the current accounting period.



Student activity

Think: A furniture trader takes some furniture from his business, for his domestic use. How do you treat this transaction?

Illustration 8

From the following information, prepare profit and loss account for the year ended 31st March, 2018.

Particulars	`	Particulars	`
Gross profit b/d	1,50,000	Advertisement expenses	3,800
Carriage outward	25,500	Bad debts	8,500
Office rent	7,000	Dividend received	9,000
Office stationery	3,500	Discount received	4,600
Distribution expenses	2,000	Rent received	7,000

Solution

Dr. **Profit and Loss Account for the year ended 31st March, 2018** **Cr.**

Particulars	`	Particulars	`
To Carriage outward	25,500	By Gross profit b/d	1,50,000
To Office rent	7,000	By Dividend received	9,000
To Office stationery	3,500	By Discount received	4,600
To Distribution expenses	2,000	By Rent received	7,000
To Advertisement expenses	3,800		
To Bad debts	8,500		
To Net profit transferred to capital account	**1,20,300**		
	1,70,600		1,70,600